

Schumpeter thus characterized it, but mania was a detail in a larger process, and the benign role of the ensuing contraction and depression was to restore normal sanity and extrude the poison, as some other scholars put it, from the system. University courses on business cycles now accepted as routine the alternation between high, even extravagant, expectations and low.

In 1907, after another, less dramatic escape from reality, this one centering on New York, there came what was called the Wall Street panic. It remains memorable for the belief that J. P. Morgan, calling on public and private funds to rescue the endangered Trust Company of America and calling also on New York clergymen to preach sermons of confidence and encouragement, single-handedly brought it to an end. This is questionable. A crash can come to an end without divine intervention.



J. P. Morgan was credited with ending the crash of 1907 by, along with other remedial action, asking the clergy of New York City to preach sermons of encouragement.

Again, in the months following World War I, there was a mildly euphoric mood. Farm income was good; from this came a speculative surge in land purchases and in farm land prices. This left farmers with a heavy burden of debt, which in the years of the Great Depression was commonly estimated to exceed in the aggregate the value of all rural property. Born here were the agricultural crisis of the 1930s and the farm programs that still exist to support farm prices and income and supply farmers with credit.

But overshadowing all previous speculative episodes was the great stock-market boom of the later 1920s. Not since John Law or the Bubble had mania seized so deeply so large and influential a sector of the population. Here on display were all the basic features of financial